

Leading in Management

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OBJECTIVE:

Understand the definition of Leading in Management

Identify the traits of being a leader

Adapt a specific leadership skills

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Introduction

Leading is that management function which
“Involves influencing others to engage in
the work behaviors necessary to reach
organizational goals”.

LEADING refers to the function *while*,
LEADERSHIP refers to the process.

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Bases of Power

1. LEGITIMATE POWER
2. REWARD POWER
3. COERCIVE POWER
4. REFERENT POWER
5. EXPERT POWER

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Bases of Power

1. **LEGITIMATE POWER** - a person who occupies a higher position has legitimate power over a persons in lower positions within the organization.
2. **REWARD POWER** – When a person has the ability to give rewards to anybody who follows orders or requests. Rewards may be classified into two forms: Material and Psychic.
 - **MATERIAL REWARD** – refers to money or other tangible benefits.
 - **PSYCHIC REWARD** – consists of recognition, praises, etc.

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Bases of Power

3. **COERCIVE POWER** – when a person compels another to comply with orders through threats or punishments .
4. **REFERENT POWER** – when a person can get compliance from another because the latter would want to be identified with the former.
5. **EXPERT POWER** – provides specialized information regarding their specific lines of expertise. It is possessed by people with great skills in technology.

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The Nature of Leadership

LEADERSHIP may be referred to as "the process of influencing and supporting others to work enthusiastically toward achieving objectives." Leadership is expected of any manager in charge of any unit or division.

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Traits of Effective Leader

- A high level of personal drive
- The desire to lead
- Personal integrity
- Self-confidence
- Analytical ability or judgment
- Knowledge of the company, industry or technology.
- Charisma
- Creativity
- Flexibility

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High Level of Personal Drive

Persons with drive are those identified as willing to accept responsibility, possess vigor, initiative, persistence, and health. Drive is a very important leadership trait because of the possibility of failure in every attempt to achieve certain goals. If a chosen way to reach a goal is not successful, a leader finds another way to reach it, even if it precedes a succession of failed attempts. This will, of course, require a high level of personal drive from the leader.

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Desire to Lead

Even if they are forced to act as leaders, they will not be effective because their efforts will be half-hearted. Leaders with a desire to lead will always have a reservoir of extra efforts which can be used whenever needed.

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Personal Integrity

A person who is well-regarded by others as one who has integrity possesses one trait of a leader. One who does not have personal integrity will have a hard time convincing his subordinates about the necessity of completing various tasks.

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Self - Confidence

The activities of leaders require moves that will produce the needed outputs. The steps of conceptualizing, organizing and implementing will be completed if sustained efforts are made. For the moves to be continuous and precise, self-confidence is necessary.

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Analytical Ability / Judgement

Leaders are, oftentimes, faced with difficulties that prevent the completion of assigned tasks. The ability to analyze is one desirable trait that a leader can use to tide him over many challenging aspects of leadership

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Knowledge of the Company, Industry or Technology

A leader who is well-informed about his company, the industry the company belongs, and the technology utilized by the industry, will be in a better position to provide directions to his unit.

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Charisma

When a person has sufficient personal magnetism that leads people to follow his directives, this person is said to have charisma.

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Creativity

Ronnie Milevo defines it as "the ability to combine existing data, experience, and preconditions from various sources in such a way that the results will be subjectively regarded as new, valuable, and innovative, and as a direct solution to an identified problem situation."

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Flexibility

People differ in the way they do their work. One will adapt a different method from another person's method. A leader who allows this situation as long as the required outputs are produced, is said to be flexible.

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LEADERSHIP SKILLS

Leaders need to have various skills to be effective.

1. Technical Skills
2. Human Skills, and
3. Conceptual Skills



LEADERSHIP SKILLS – Technical Skills

TECHNICAL SKILLS

- - these are skills a leader must possess to enable him to understand and make decisions about work processes, activities, and technology. Technical skill is a specialized knowledge needed to perform a job.



LEADERSHIP SKILLS – Human Skills

HUMAN SKILLS

- these skills refer to the ability of a leader to deal with people, both inside and outside the organization. Good Leaders must know how to get along with people, motivate them and inspire them.

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LEADERSHIP SKILLS – Conceptual

CONCEPTUAL SKILLS

- this skills refer to “ the ability to think in abstract terms, to see how parts fit together to form the whole. A leader without sufficient conceptual skills will fail to achieve this.

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Behavioral Approach to Leadership Styles

1. According to ways leaders how approach people to motivate them.
2. According to the way the leader uses power.
3. According to the leader's orientation towards task and people.

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Ways Leader Approach People

* POSITIVE LEADERSHIP

- when the leader's approach emphasizes rewards.

* NEGATIVE LEADERSHIP

- when punishment is emphasized by the leader.



Ways Leader Uses Power

1. Autocratic Leaders
2. Participative Leaders
3. Free-rein Leaders



Ways Leader Uses Power

AUTOCRATIC LEADERS

- leaders who make decisions themselves, without consulting subordinates.
- Motivation takes the form of threats, punishments, and intimidation of all tasks.



Ways Leader Uses Power

PARTICIPATIVE LEADERS

- when a leader openly invites his subordinates to participate or share in decisions, policy-making and operation methods, he is said to be a participative leader.

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Ways Leader Uses Power

FREE-REIN LEADERS

- leaders who set objectives and allow employees or subordinates relative freedom to do whatever it takes to accomplish these objectives, are called free-rein leaders.



Leaders Orientation Toward Tasks and People

- 1. EMPLOYEE ORIENTATION** – a leader is said to be employee-oriented when he considers employees as human beings of “intrinsic importance and with individual and personal need to satisfy.
- 2. TASK ORIENTATION** – a leader is said to be task-oriented if he places stress on production and the technical aspects of the job and the employees are viewed as the means of getting the work done.



Contingency Approach to Leadership Style

The contingency approach is an effort to determine through research which managerial practices and techniques are appropriate in specific situations.

1. Fiedler's Contingency Model
2. Hersey and Blanchard's Situational Leadership Model.
3. Path-Goal Model of Leadership
4. Vroom's Decision Making Model

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Fiedler's Contingency Model

“Leadership is effective when the leader's style is appropriate to the situation”. The situational characteristics is determined by three principal factors.

1. The relations between leaders and followers.
2. The structure of the task.
3. The power inherent in the leader's position.



Fiedler's Contingency Model

The situational characteristics vary from organization to organization. To be effective, the situation must fit the leader. If this is not so, the following may be tried.

1. Change the leader's trait or behaviors.
2. Select leaders who have traits or behaviors fitting the situations.
3. Move leaders around in the organization until they are in positions that fit them.
4. Change the situation.



Hersey & Blanchard Situational Leadership Model

Suggests that the most important factor affecting the selection of a leader's style is the development (or maturity) level of subordinate. The leader should match his or her style to this maturity level.

1. Job Skills and Knowledge, and
2. Psychological Maturity



Leadership Style Appropriate for Various Maturity Level

1. **DIRECTING** – is for people who lack competence but are enthusiastic and committed.
2. **COACHING** – is for people who have competence but lack commitment.
3. **SUPPORTING** – is for people who have competence but lack of competence or motivation.
4. **DELEGATING** – is for people who have both competence and commitment.

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Path-Goal Model of Leadership

Espoused by Robert J. House and Terence R. Mitchell, stipulates that leadership can be made effective because leaders can influence subordinate's perceptions of their work goals, personal goal's and path's to goal attainment.

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Path-Goal Model of Leadership

By using the path-goal model, it assumed that effective leaders can enhance subordinate motivation by:

1. Clarifying the subordinate's perception of work goals.
2. Linking meaningful rewards with goal attainment, and
3. Explaining how goals and desired rewards can be achieved.

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Path-Goal Model of Leadership

Leadership Styles. The leadership styles which may be used by Path-Goal proponents are as follows.

1. **DIRECTIVE LEADERSHIP** – where the leader focuses in clear task assignments, standards of successful performance, and work schedules.
2. **SUPPORTIVE LEADERSHIP** – where the subordinates are treated as equals in a friendly manner while striving to improve their well-being.

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Path-Goal Model of Leadership

3. **PARTICIPATIVE LEADERSHIP** – where the leader consults with the subordinates to seek their suggestions and then seriously considers those suggestions when making decisions.
4. **ACHIEVEMENT ORIENTED LEADERSHIP** – where the leader set challenging goals, emphasize excellence, and seek continuous improvement while maintaining a high degree of confidence that subordinates will meet difficult challenges in a responsible manner.



Vroom's Decision Making Model

- Autocratic leader
- Consultative leader
- Group directed



Vroom's Decision Making Model

1. AUTOCRATIC STYLE
2. CONSULTATIVE STYLE
3. DEMOCRATIC STYLE
4. LAISSEZ FAIRE



Vroom's Decision Making Model

AUTOCRATIC STYLE

- Autocratic comes from the Greek root word "**auto**" which means "**self**", and "**kratos**" which means "**power**"
- Autocratic leaders do decision making by themselves.
- Autocratic organizations assume and expect their leaders to be autocratic leaders within preset framework of rules and regulations.
- Three Types of Autocratic Leadership:
 1. **Directing Autocratic Leadership**-employees are explicitly told what to do.
 2. **Permissive Autocratic Leadership**-the leaders makes the decision but allows employees to choose how to complete assigned tasks to a certain extent.
 3. **Paternalistic Autocratic Leadership**-the leader directs and make all final decisions, but with the well-being of the team members as a priority.



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Vroom's Decision Making Model

PROS & CONS OF AUTOCRATIC LEADERSHIP

➤ Pros

1. High clarity on structure and roles
2. Quick decision making
3. Improved crisis management
4. Strong guidance increases the performance of inexperienced team member
5. Strong target focus



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Vroom's Decision Making Model

PROS & CONS OF AUTOCRATIC LEADERSHIP

➤ Cons

1. It requires total control
2. Lack of empowerment
3. Strong dependency on the skills of the autocratic leader
4. Too high dependency on the leader
5. Complete lack of trust
6. Use of intimidation



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Vroom's Decision Making Model

CONSULTATIVE STYLE

- Consultative leaders allow participation of the members of the organization by consulting them but make the decision themselves.
- Negative Effects: managers are prone to overuse the consultative leadership style due to the perception that everyone is getting a say, despite the possibility for a large amount of unnecessary being formed.



Vroom's Decision Making Model

DEMOCRATIC STYLE

- The word “**democracy**” originates from the Greek words “**demos**” which means “**people**” and “**kratia**” which means “**power or rule**”
- Democratic leaders allow members of the organization to fully participate in decision making.
- A democratic management style can improve your culture of employee engagement, commitment and job satisfaction.



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Vroom's Decision Making Model

LAISSEZ FAIRE

- Laissez faire is a French word that means “*leave alone*”
- In laissez faire or free-rein leadership style, leaders avoid responsibility and leave the members of the organization to establish their own work.
- Power is transferred to the team members.
- The leader remains responsible for providing resources.
- All decision making is left to the team.



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Vroom's Decision Making Model

PROS & CONS OF LAISSEZ FAIRE LEADERSHIP

➤Pros

1. A highly experienced and skilled team can thrive
2. Team members have creative freedom
3. The retention rate of experts can increase

➤Cons

1. Teams that need consistent guidance fall apart
2. The leader is uncaring and absent
3. Productivity decreases
4. Team members are confused about their roles



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End of Lecture

THANK YOU!



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